RAZORPAY × ISB BUILD CHALLENGE · TRACK 1: RAZORPAY IN YOUR POCKET

Product note

Letting small sellers respond to payment disputes from the Razorpay app

For: small online sellers (Instagram sellers, home businesses, small D2C brands) who take card payments through Razorpay payment links and run the business from their phone.

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3 working days	Automatic loss	Website only	On the phone
to respond to a dispute	if the seller misses the deadline	no disputes in the phone app	where the proof already is

THE PROBLEM

A customer asks their bank to reverse a payment, saying the item never arrived. This is a **dispute** (chargeback). Today:

- Razorpay **holds the disputed amount** from the seller's balance right away.
- The seller is told by email and has **3 working days** to send proof, or **loses automatically**.
- Disputes can only be handled on the website, not in the app.
- Each reason needs different proof, listed in a separate guide.
- Payments show only Captured or Failed. The outcome sits elsewhere.

How sellers manage today: they screenshot the slip and chat, email them to themselves, open a laptop, find the dispute and guess which documents to attach. One seller lost ₹38,838 to one dispute; another had ₹1.5 lakh stuck despite having proof (Trustpilot, 2026).

Why mobile: the alert, slip and chat are already on the seller's phone. Today all of it has to move to a laptop.

Why it matters to Razorpay: fewer support tickets (the most common complaint in reviews), fewer lost chargebacks, and sellers who keep trusting card payments.

THE SOLUTION

The idea is to **save proof when the order ships**. If a dispute comes in later, the seller only has to review and submit.

1 When the order ships — 5 seconds

On card payments above an amount the seller sets: **"Shipped? Add proof."** Snap the courier slip and parcel, or share the chat. Saved against that payment.

2 When a dispute is raised — under 2 minutes

1. Alert: "₹1,400 on hold for a dispute. Respond by Fri, 16 Oct."
2. Amount, countdown, reason in plain words, status Open → Under review → Won / Lost
3. Checklist of the proof that wins *this* reason, pre-filled from step 1, gaps flagged. Tick the photos of the disputed item; contest all or part.
4. Explanation, review, submit. Or **Accept dispute** if the customer is right.

3 When the bank decides — 15 to 30 days later

Alert, then a **Final decision** card on Home until the seller taps "Got it". The payment keeps a "Final" line; a Disputes tab under Payments holds every case.

HOW I FOUND THIS PROBLEM

01 Mapped website vs app
Compared the website and the phone app using Razorpay's docs. Disputes, instant settlements and held payments all need the website or support.

02 Read what merchants say
Recent Play Store, App Store and Trustpilot reviews. Held money, lost disputes, KYC and slow support kept coming up.

03 Scored 5 options
Checked each for money at stake, use away from a desk, frequency and a clear workaround. Disputes fit best. Settle Now is only a convenience.

04 Checked every fact
Researched with Claude and Gemini, then verified each number in Razorpay's docs. Corrected the AI where it was wrong, for example a ₹3,000 fee it called a penalty.

KEY DECISIONS

- **Collect proof at shipping,** when it is easiest to get.
- **Keep it in the existing app:** a Disputes tab and a Home alert.
- **A checklist for each dispute type,** with a flag for weak chat proof.
- **Show the outcome on the payment and on Home.**
- **Follow Razorpay's rules:** statuses, evidence types, partial contest.
- **Make accepting as easy as contesting** for fair claims.

Risks and how I would handle them

Private chats: owners and admins only, deleted if no dispute comes.
Wrong or blurry proof: flagged before submitting.
Too many prompts: only above the seller's chosen amount.

HOW I WOULD MEASURE SUCCESS

METRIC	WHY IT MATTERS
Main: disputes answered on time	A missed deadline is a loss
Win rate on contested disputes	Quality of the proof
Alert to submit, goal under 2 min	Speed of the flow
Card payments with proof saved early	Use of the shipping step
Check: evidence rejected	Speed without errors

Next steps: talk to 5 to 10 sellers about missed disputes and whether the shipping prompt helps. Later, read the tracking number from the slip photo automatically.

Not built on purpose: later dispute stages, fraud disputes, bulk handling, auto-written explanations, Settle Now.

Sources: Razorpay Docs (Disputes, Chargeback Fees, Submit Evidence, Dispute API, Mobile App, Payment States); Trustpilot merchant reviews. Segment, flow and prototype data are my assumptions.